

24STCV11259 24STCV11259

County: los-angeles

Division: Civil Law and Motion

Department: 512

Hearing date: 2026-06-29

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Case Number: 24STCV11259 Hearing Date: June 29, 2026 Dept: 512

HEARING DATE: Mon., June 29, 2026 JUDGE /DEPT: Mkrtchyan/512

CASE NAME: Fidel

v. Dick Browning, Inc., et al. COMPL. FILED: 05-06-24

CASE NUMBER: 24STCV11259

FAC FILED: 03-20-26

NOTICE: OK

PROCEEDINGS: MOTION

FOR APPROVAL OF REPRESENTATIVE ACTION SETTLEMENT

MOVING PARTY: Plaintiffs

Jaime Zamora Fidel and Jessy Vargas

RESP. PARTY: None

MOTION TO APPROVE PAGA SETTLEMENT

(Lab. Code, § 2699)

TENTATIVE RULING:

Plaintiffs' Motion for Approval of

Representative Action Settlement is CONTINUED to Monday, August 3, 2026 at 9:00

a.m. in Department 512 at the STANLEY MOSK COURTHOUSE.

At least 16 court days before the next
scheduled hearing, Plaintiffs must file and serve supplemental papers
addressing the deficiencies discussed herein.

Moving parties are ordered to give
notice.

SERVICE:

☒ Proof of
Service Timely Filed (CRC, rule 3.1300) OK

☒ Correct Address
(CCP §§ 1013, 1013a) OK

☒ 16/21 Court
Days Lapsed (CCP §§ 12c, 1005(b)) OK

OPPOSITION: None
filed as of June 25, 2026 ☐ Late ☒
None

REPLY: None
filed as of June 25, 2026 ☐
Late ☒ None

ANALYSIS:

I.
Background

On May 6, 2024, Plaintiff Jaime Zamora
Fidel ("Plaintiff"), as an individual and on behalf of all others similarly
situated, filed a Complaint Under the Labor Code Private Attorneys General Act
("PAGA") of 2004 for Civil Penalties Under Labor Code Sections 210, 226.3, 558,
1174.5, 1197.1, and 2699 against Defendants Dick Browning, Inc., Cerritos
Dodge, Inc., Victorville Nissan, Inc., High Desert Autos, Inc., Dav, Inc.,
Vahl, Inc., Auto Square Autos, Inc., and Triangle Motors, Inc. ("Defendants")
and Does 1-100.

On October 3, 2025, Plaintiff filed a Notice of Settlement of Entire Case.

On March 20, 2026, Plaintiff filed a First Amended Complaint (“FAC”) against Defendants.

On April 27, 2026, Plaintiffs Zamora Fidel and Jessy Vargas filed the instant Motion for Approval of Representative Action Settlement (the “Motion”).

To date, no Opposition to the Motion has been filed.

II. Procedural Issues

As an initial matter, the Court notes the Motion and accompanying documents frequently refer to a declaration made by “Shani O. Zakay”; however, the Court’s records do not contain such a declaration. (See e.g., Motion, pp. 1, 29.) To the extent the Motion makes requests based on this declaration, the Court is unable to address those requests at this time.

III. Legal Standard

Given that the pertinent PAGA notices in this matter were sent to the Labor and Workforce Development Agency (LWDA) prior to June 19, 2024, the Court applies certain PAGA requirements in effect prior to the new requirements established in 2024 by S.B. 92 and A.B. 2288.

Former Labor Code section 2699(l)(2) stated:

“The superior court shall review and approve any settlement of any civil action filed pursuant to this part [Labor Code Private Attorneys General Act of 2004 (“PAGA”)]. The proposed settlement shall be submitted to the [Labor and Workforce Development Agency (“LWDA”)] at the same time that it is submitted to the court.”

An application for approval of such a settlement must demonstrate that the proposed settlement is fair, adequate, and reasonable to all those affected by it. 2 (Williams v. Superior Court (2017) 3 Cal.5th 531, 549; Nordstrom Com. Cases (2010) 186 Cal.App.4th 576, 579.)

In determining whether a settlement falls within the parameters of what may be considered fair, adequate, and reasonable, courts regularly rely on “ ‘the strength of the case for plaintiffs on the merits, balanced against the amount offered in settlement.’ ” (Kullar v. Foot Locker Retail, Inc. (2008) 168 Cal.App.4th 116, 130, 131-132.) Other important indicia of fairness include arms'-length negotiations, experienced counsel, and an adequate investigation of the claims. (Id., at pp. 129-130.)

Formerly, seventy-five percent of all PAGA penalties must be paid to the LWDA. (See former Lab. Code, § 2699(i) [“Except as provided in subdivision (j), civil penalties recovered by aggrieved employees shall be distributed as follows: 75 percent to the Labor and Workforce Development Agency for enforcement of labor laws and education of employers and employees about their rights and responsibilities under this code, to be continuously appropriated to supplement and not supplant the funding to the agency for those purposes; and 25 percent to the aggrieved employees.”].) Courts have discretion to approve settlements that do not allocate any penalty amount. (Nordstrom Com. Cases, supra, 186 Cal.App.4th at p. 589).

Former Labor Code § 2699(g)(1) provided, in relevant part: “Any employee who prevails in any action shall be entitled to an award of reasonable attorney’s fees and costs” (Lab. Code, § 2699(g)(1).)

IV.

Discussion

Plaintiffs move for approval of the parties’ PAGA settlement.

The Agreement

Here, Plaintiffs provide evidence of Plaintiffs' counsel's experience and states that, after engaging in discovery and extended arms-length negotiations, including mediation, the parties were able to reach a settlement of Plaintiffs' PAGA claims. (See Motion, Lapuyade Decl., ¶¶ 6-9, Exh. 1-2; Patel Decl., pp. 4-7.) The parties executed the PAGA Settlement Agreement in March 2026. (Motion, Patel Decl., Exh. 1, pp. 21-22.) Pursuant to the settlement agreement, the parties agreed that Defendants would pay a total of \$640,000 to settle the PAGA claims. (Motion, Patel Decl., ¶ 5, Exh. 1, ¶ 3.1.) The parties have agreed to a proposed distribution of the \$640,000 gross settlement as follows: (1) \$224,000 for attorney's fees; (2) \$26,383.83 for litigation costs; (3) \$8,000.00 for settlement administration costs; (4) \$20,000 for Plaintiffs' service payment, not to exceed \$10,000.00 to each Plaintiff; and (5) the PAGA Payment—i.e., the amount remaining from the gross settlement amount after deducting attorney's fees, litigation costs, settlement administration costs, and Plaintiffs' service payment—for PAGA penalties wherein 75 percent would be paid to the LWDA and 25 percent would be paid to all aggrieved employees. (Motion, pp. 10-11, Patel Decl., ¶¶ 4-6, Ex. 1, ¶ 3.2.3.)

With respect to the PAGA Payment, the Court finds that the distribution substantially complies with former Labor Code section 2699(i), which required 75 percent of the amount to be paid to the LWDA and 25 percent of the amount to be paid to the aggrieved employees, which here consists of "all individuals employed as non-exempt, hourly employees by Defendants within the State of California during the period from February 23, 2023, through the date the Court grants approval of the Settlement ('PAGA Period'). Based on information provided by Defendants prior to mediation, Plaintiffs believe there are approximately 1,050 Aggrieved Employees in the PAGA Period." (Motion, Patel Decl., ¶ 26, Exh. 1, ¶ 1.17.) The "estimated average payment to Aggrieved Employees is approximately \$86.10 (\$90,407.17 / 1,050 Aggrieved Employees)." (Motion, Patel Decl., ¶ 28.) Plaintiffs also understand there to be about 40,000 pay periods. (See Motion, p. 15, Patel Decl., ¶ 42.)

However, the Court finds there is a discrepancy as to the PAGA Payment – the moving papers, proposed order, and settlement agreement all state different amounts for the PAGA Payment and the allocation to be paid to LWDA and to the Aggrieved Employees. For example, the Proposed Order accompanying the Motion provides that the PAGA Payment is \$361,636.17,

reflecting \$271,227.13 to be paid to LWDA and \$90,409.04 to be paid to the Aggrieved Employees; however, the Motion states the “the total estimated amount of the Net Settlement Amount is \$361,628.67 as the same may be escalated pursuant to the Settlement Agreement. Pursuant to the Settlement Agreement and Labor Code section 2699(i), 75% of the Net Settlement Amount, or \$271,221.50 (as the same may be escalated pursuant to the Settlement Agreement) will be paid to the LWDA, and the remaining 25%, or \$90,407.17 as the same may be escalated pursuant to the Settlement Agreement) of the Net Settlement Amount will be paid to the Aggrieved Employees on a pro rata basis using their respective number of Pay Periods worked during the Settlement Period.” (Motion, Patel Decl., ¶ 28, Exh. 1, ¶ 3.) Further, the Settlement Agreement states that the PAGA payment is \$365,750.00 reflecting \$274,312.50 to be paid to LWDA and \$91,437.50 to be paid to the Aggrieved Employees. (See Motion, Proposed Order, Patel Decl., Exh. 1, ¶ 3.2.3.)

The Court may not grant the Motion absent clarification regarding these differing amounts and conformity between the Motion, Proposed Order, and Settlement Agreement.

As to the terms of the release, the Court finds the general release under the PAGA Settlement Agreement is fair and reasonable under the statute. The release as to the PAGA Group Members/aggrieved employees is appropriately limited to claims “for all PAGA penalties that were alleged, or reasonably could have been alleged, based on the facts stated in the Operative Complaint and the PAGA Notices” during the PAGA Period and with certain exclusions. (Motion, Patel Decl., Exh. 1, ¶ 5)

Attorney's Fees

Here, Plaintiffs' counsel provides evidence of four declarations describing counsel's background and experience, and an itemized billing charts. (Motion, Lapuyade Decl., Seligson Decl., Ribiyon Decl., Patel Decl.) The fees, in pertinent part, are summarized as follows:

Plaintiffs' Counsel at Bibiyon Law

Group, P.C., will have collectively worked approximately 330.7 hours. Plaintiffs' Counsel's hourly rate in this case for David D. Bibiyon is \$1,100 per hour (approx. 31.7 hours); Jeff Klein is \$1000 per hour (approx. 4.8 hours); Diego Aviles is \$850 per hour (approx. 26.1 hours); Vedang J. Patel is \$800 per hour (approx. 73.4 hours); Eric Naessig is \$525 per hour (approx. 8.2

hours); Jasmin Aradi is \$500 per hour (approx.. 141.3 hours); Keaton Mendoza is \$450 per hour (approx. 17.2 hours); Paralegals are \$200 per hour (approx. 16.5 hours); and Legal Assistants are \$95 per hour (approx. 11.5 hours). At Bibiyan Law Group, P.C.'s hourly rates, this results in a total lodestar amount of \$207,663. As indicated in the declaration of Jean-Claude Lapuyade, JCL Law Firm's total lodestar amounts to \$1,605.00.... As indicated in the declaration of Kenneth Seligson, Seligson Law's total lodestar amounts to \$49,739.33.

(Motion, pp. 20-21, Lapuyade Decl.,
Seligson Decl., Bibiyan Decl., Patel Decl.)

Counsel's work included drafting the Complaint, First Amended Complaint, Notice of Settlement, and Motion in this matter; meeting and conferring with defense counsel; attending meetings; consulting with experts; reviewing correspondence; and engaging in mediation and discussions regarding mediation. (Motion, Lapuyade Decl., Seligson Decl., Bibiyan Decl., Patel Decl.)

The Court finds Plaintiffs' attorney's fees request totals over 35 percent of the gross settlement amount and is excessive. Additionally, the supporting evidence for the fees request is deficient as the Zakay declaration referenced in the moving papers does not accompany the Motion.

Given the total attorney work done in this matter – including multiple iterations of the complaint, discovery, and mediation – the Court finds an attorney's fees award totaling \$211,200 is reasonable.

Plaintiffs' counsel also provides itemized billing invoices as to the \$26,363.83 in costs associated with this action. (Motion, Bibiyan Decl., Exh. 1; Lapuyade Decl., Exh. 2; Seglison Decl.) Costs in this matter include court filing fees, service fees, case document purchase, expert data consultant, postage, and photocopies. (Motion, Bibiyan Decl., Exh. 1.) Upon review of these records, the Court finds these costs to be reasonable.

Plaintiffs' Service Payment

As to Plaintiffs' service payment,

Plaintiff Vargas provided a declaration setting forth the actions Plaintiff Vargas undertook in litigating this action, including:

Communicating with my attorneys regarding the facts of my employment and Defendants' practices; providing documents and information to support the claims in this case; Assisting counsel in understanding workplace practices and identifying violations; Reviewing pleadings and case developments; Staying informed about the status of the case and participating in discussions regarding strategy and resolution. I devoted approximately 23 hours to assisting with this case.

(Motion, Vargas Decl., ¶¶ 7-8.)

Plaintiff Fidel also provided a declaration setting forth the actions Plaintiff Fidel undertook in litigating this action, including:

I have spent at least 27 hours in connection with this matter, which included time spent having preliminary calls with my attorneys; doing an intake with my attorneys; time spent searching for documents relating to my employment; time spent reading and understanding the Settlement Agreement; time spent answering calls to discuss Defendants' timekeeping, pay, meal and rest periods, and to review time and payroll records; time spent discussing with my attorneys' Defendants' policies and practices; time spent on-call at mediation; and time spent checking in on the status of the case, among other things. I also spent time preparing this declaration to support Plaintiffs' Motion for Approval of Representative Action Settlement.

(Motion, Fidel Decl., ¶ 14.) The Court finds Plaintiffs' service payments to be reasonable.

With respect to the settlement administration costs, Plaintiffs have submitted an estimate from settlement administrator ILYM Group, Inc. showing that costs are \$7,350.00. (Motion, Rogers Decl., ¶ 7, Exhs. A-C.) Given the estimate shows costs are \$7,350.00, the Court is inclined to approve \$7,350.00 in settlement administrator costs.

LWDA Service Requirement

As to the LWDA service requirement,
Plaintiffs submitted evidence demonstrating Plaintiffs' counsel submitted a
copy of the Settlement Agreement to the LWDA on April 27, 2026. (Motion, Patel
Decl., Exh. 5.)

Based on the foregoing, the Motion is
CONTINUED. Plaintiffs are ordered to submit supplemental
papers addressing the deficiencies noted herein.

V.
Conclusion
& Order

For the foregoing reasons, Plaintiffs'
Motion for Approval of Representative Action Settlement is CONTINUED to Monday,
August 3, 2026 at 9:00 a.m. in Department 512 at the STANLEY MOSK COURTHOUSE.

At least 16 court days before the next
scheduled hearing, Plaintiffs must file and serve supplemental papers
addressing the deficiencies discussed herein.

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